

Internal Audit Procedure

RELEVANT STANDARD(S):

Standards for Registered Training Organisations (RTOs) 2025	Standards for Registered Training Organisations (RTOs) 2025, including: • Outcome Standard 4.4 – Systematic monitoring, evaluation and continuous improvement • Outcome Standard 4.3 – Risk identification and management • Outcome Standard 4.1 – Leadership, integrity and accountability • Outcome Standard 1.5 – Validation of assessment (through monitoring and audit processes) • Compliance Requirements – Legislative, regulatory and reporting compliance
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Procedure Overview

PURPOSE	To outline the process for planning, conducting, recording, reporting and closing internal audits to ensure ongoing compliance with the Standards for Registered Training Organisations (RTOs) 2025, applicable Commonwealth and Western Australian legislation, and SNS College governance requirements. This procedure supports a structured, risk-based internal audit system integrated with the Continuous Improvement (CINC) Register, Reporting & Legislative Compliance Register and Management Review processes.
ROLE UNDERTAKING TASK	Compliance Manager (Lead Auditor) Where the Compliance Manager audits systems for which they have operational responsibility, compensating controls are applied, including CEO oversight, peer review of findings, and evidence-based verification prior to closure.
DOCUMENT UPDATE	Changes to this procedure must only be made upon approval of the Chief Executive Officer.
Procedure Overview	• Develop and approve an annual internal audit schedule. • Notify relevant staff of audit focus areas and evidence requirements. • Conduct audits using SNS College's SNS -TEM-Internal Audit Checklist, including Quality Area worksheets, the Compliance Requirements worksheet, and the Credential System worksheet. • Record and classify findings (Compliant, Opportunity for Improvement, Minor NC, Major NC). • Document outcomes in the Audit Register and Continuous Improvement Register (CINC). • Report results to the CEO and table at the Compliance & Continuous Improvement Meeting. • Verify corrective actions, close findings, and file all evidence. Internal audits are planned and conducted using a risk-based approach informed by regulatory change, complaints, validation outcomes, data integrity risks, third-party arrangements and previous audit findings.

Step	Action	Responsibility	Records / Evidence
1. Plan	Develop an annual Internal Audit Schedule covering all Standards, legislative compliance, and RTO functions. Identify high-risk areas or significant changes since last audit.	Compliance Manager	Annual Audit Schedule
2. Approve	Submit the schedule to the CEO for approval and inclusion in the Compliance Calendar.	Compliance Manager / CEO	Approved Audit Schedule
3. Notify	Advise relevant staff and departments of upcoming audits, scope, and evidence requirements.	Compliance Manager	Email notification
4. Conduct Audit	Using the approved SNS -TEM-Internal Audit Checklist, (comprising QA01–QA09 audit worksheets, the Compliance Requirements worksheet, and the Credential System worksheet) evaluate applicable Quality Areas, Compliance Requirements, and the Credential System. Review outcome requirements, compliant practice guidance and objective evidence. Record compliance status and findings. Where required, findings inform updates to the Risk Register.	Compliance Manager	Completed Checklist
5. Classify Findings	Assign each finding a severity level (Compliant, Opportunity for Improvement, Minor Non-Conformance, Major Non-Conformance) based on risk to learner outcomes, regulatory compliance and system integrity.	Compliance Manager	Checklist
6. Record Results	Enter all findings requiring action into the Continuous Improvement (CI) Register. Record significant or high-risk issues in the Risk Register. Update the Internal Audit Register to reflect audit outcomes.	Compliance Manager	Audit Register / CINC Register
7. Verify Legislative Compliance	Complete the Compliance Requirements worksheet to verify mandatory legislative, regulatory and reporting obligations, including marketing accuracy, AQF certification, USI participation, privacy, records management, third-party arrangements and regulatory reporting.	Compliance Manager	Legislative Register extract
8 – Credential System Assurance	Complete the Credential System worksheet to confirm that only authorised and appropriately credentialed personnel perform regulated activities, that supervision and validation requirements are met, and that credential-related risks are identified and managed.		
9. Report Findings	Summarise results and present to the CEO for review. Table report at the next Compliance & Continuous Improvement Meeting .	Compliance Manager / CEO	Audit Summary Report / Meeting Minutes
10. Implement Corrective Actions	Responsible officers complete required actions; Compliance Manager monitors progress and updates the CINC Register.	Responsible Officer / Compliance Manager	CINC Register

Step	Action	Responsibility	Records / Evidence
11. Verify & Close	Once corrective actions are complete, verify effectiveness and mark findings as “Closed” in the Checklist and Register.	Compliance Manager	Verified Checklist / CINC closure evidence
12. Archive Evidence	File completed checklists, reports, and supporting evidence in Governance > Internal Audit Folder for 5 years. Audit records are retained for a minimum of five (5) years to support regulatory review, risk analysis and trend monitoring.	Compliance Manager	Folder contents

AUDIT FREQUENCY

- **Full internal audit:** annually (minimum)
- **Targeted audits:** as required following major changes, complaints, or identified risks
- **Legislative audit:** quarterly review of Legislative Compliance Register

KPIs AND PERFORMANCE MEASURES

KPI	Target	Monitored By
100% of RTO operations audited annually	Achieved each calendar year	Compliance Manager
All non-conformances recorded in CINC Register	Within 5 working days of audit	Compliance Manager
Corrective actions closed within 60 days	100%	CEO
Audit outcomes reviewed quarterly at CI Meetings	100%	Compliance Manager

RECORDS AND EVIDENCE

Record Type	Location	Retention Period
Completed Internal Audit Checklist (Excel)	Governance → Internal Audit Folder	5 years
Audit Register	Governance → Registers Folder	5 years
Continuous Improvement Register (CINC)	Governance → Registers Folder	5 years
Reporting & Legislative Compliance Register	Governance → Registers Folder	5 years

Compliance & CI Meeting Minutes	Governance → Meetings Folder	5 years
CEO Audit Report	Governance → CEO Folder	5 years

RELATED DOCUMENTS

- SNS Internal Audit Policy
- TEM-SNS-Pre Internal Audit Checklist.xlsx
- Reporting and Legislative compliance register
- SNS Continuous Improvement (CINC) Procedure
- SNS Reporting & Records Management Procedure
- SNS Transition Procedure
- SNS Validation Procedure

APPENDIX A Audit Framework & QA01–QA09 Overview

This appendix defines the scope, structure, and coverage of the internal audit framework and demonstrates that all Outcome Standards and Compliance Requirements are systematically audited.

A1. Internal Audit Framework Overview

Internal audits at SNS College are conducted using a structured, outcome-based framework aligned to the Standards for Registered Training Organisations (RTOs) 2025.

The framework:

- is risk-based and proportionate to the RTO's size and scope;
- covers all Outcome Standards (1–4) and Compliance Requirements;
- uses structured audit worksheets rather than checklist-only compliance;
- integrates with the Risk Register and Continuous Improvement (CINC) Register.

Audits are conducted using the SNS-TEM-Internal Audit Checklist V2.0, which comprises a suite of Quality Area worksheets (QA01–QA09) and a Master Audit Index.

A2. Quality Area Coverage Map (QA01–QA09)

QA No.	Audit Area	Primary Outcome Standard(s)	Linked Risk ID
QA01	Governance & Accountability	OS 4.1, OS 4.4	RISK-01
QA02	Assessment Integrity & Validation	OS 1.3, OS 1.4, OS 1.5	RISK-02
QA03	Workforce – Credentials & Capability	OS 3.1, OS 3.2, OS 3.3	RISK-03
QA04	Industry Engagement & Relevance	OS 1.2	RISK-04
QA05	VET Student Support & Protection	OS 2.1–OS 2.6	RISK-05
QA06	Complaints, Appeals & Fairness	OS 2.7, OS 2.8	RISK-06
QA07	Records, Data & Information Security	OS 4.2 + Compliance	RISK-07
QA08	Third-Party Arrangements	OS 4.2 + Compliance	RISK-08
QA09	Training Product Transition & Scope	Compliance Requirements	RISK-09

A3. Audit Evidence Principles

Audit evidence must be:

- sufficient and appropriate;
- current at the time of audit;
- directly related to the audit item being tested.

Evidence sources may include:

- policies and procedures;
- registers and logs;
- learner, staff, or assessment records;
- system reports;
- meeting minutes and governance records.

A4. Use of Audit Outcomes

Audit findings:

- inform updates to the Risk Register (likelihood and consequence);
- generate actions recorded in the CINC Register where required;
- are reviewed through governance and management review processes.

APPENDIX B Risk Matrix & Rating Logic

This appendix defines how risk is assessed, rated, and escalated at SNS College in accordance with Outcome Standard 4.3.

B1. Risk Assessment Approach

Risks are assessed by considering:

- the likelihood of the risk occurring; and
- the consequence if the risk event occurs,

taking into account existing controls.

Risk ratings are applied within the Risk Register, not at individual audit worksheet level.

B2. Likelihood Scale

Rating	Descriptor	Definition
1	Rare	Not expected to occur
2	Unlikely	Could occur in exceptional circumstances
3	Possible	Has occurred or could reasonably occur
4	Likely	Expected to occur in most circumstances
5	Almost Certain	Occurs frequently

B3. Consequence Scale

Rating	Descriptor	Definition (RTO Context)
1	Insignificant	No learner or compliance impact
2	Minor	Minor non-compliance or localised impact
3	Moderate	Reportable issue; corrective action required
4	Major	Serious breach; significant learner impact
5	Severe	Systemic failure; regulatory sanction

B4. Risk Rating Matrix

Consequence → Likelihood ↓	1	2	3	4	5
5 – Almost Certain	Medium	High	High	Extreme	Extreme
4 – Likely	Medium	Medium	High	High	Extreme
3 – Possible	Low	Medium	Medium	High	High
2 – Unlikely	Low	Low	Medium	Medium	High
1 – Rare	Low	Low	Low	Medium	Medium

B5. Risk Treatment Expectations

Risk Rating	Action
Low	Monitor through routine review
Medium	Improve controls where required
High	Action required; link to CINC Register
Extreme	Immediate escalation to CEO

APPENDIX C Internal Audit How-To Guide (HTG)

This guide provides step-by-step instructions for planning, conducting, recording, and closing internal audits using the SNS-TEM-Internal Audit Checklist V2.0.

C1. Preparing for an Internal Audit

Before commencing an audit:

- confirm the audit scope and QA areas to be reviewed;
- review relevant policies, procedures, risks, and prior CI actions;
- identify required evidence sources;
- notify relevant staff, where appropriate.

C2. Using the Audit Worksheets (QA01–QA09)

Each audit worksheet includes the following columns:

- Audit Area
- Evidence Item
- Expected Artefacts
- Reviewer Guidance – What to Confirm
- Suggested Remediation / CI Action
- Source / Sample
- Sighted
- Meets (Y/N)
- Notes / Issue

Auditors must:

- review the listed evidence;
- apply professional judgement;
- record factual notes only (not opinions).

C3. Making Audit Judgements

- Meets = Yes
Evidence fully supports the requirement.
- Meets = No
Evidence is missing, incomplete, outdated, or ineffective.

Where “No” is selected, an Issue must be recorded.

C4. Classifying Findings

Finding Type	Description
OFI	Opportunity to improve; no non-compliance
Minor	Limited impact; isolated non-compliance

Major	Significant or systemic non-compliance
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C5. Linking Audits to Risk and CI

- Audit issues inform the Risk Register.
- Required actions are recorded in the CINC Register.
- High or repeated issues may trigger escalation.

C6. Closing the Audit

An audit is considered closed when:

- all worksheets are completed;
- findings are reviewed;
- CI actions are raised where required;
- outcomes are reported to governance.

VERSION CONTROL

Version Control Table					
Date	Summary of Modifications	Modified by	Version	Date of Implementation	Next Review Date
15/11/2025	New procedure created to align with Internal Audit Policy and integrate purchased audit checklist and CI systems.	SNS	1.0	15/11/2025	15/11/2026
25/01/2026	Updated Internal Audit Procedure to align with outcome-based audit model, Compliance Requirements auditing, and Credential System assurance under the Standards for RTOs 2025.	SNS	2.0	25/01/2026	25/01/2027

RTO INFORMATION

RTO INFORMATION	
Document Name	SNS - PRO Internal Audit Procedure 2.0
RTO/Company Name	SNS College of Western Australia
ABN	81 665 855 872
RTO Code	53034
Phone	08 6153 4505
Email	info@snscollege.com.au
Manager	Training Manager
Website	www.snscollege.com.au
Address	Level 1, 224-226 Stirling Street, Perth 6000